

Chief Justice's Court

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner 6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui, Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra

Hon'ble Dr. Dhananjaya Yeshwant Chandrachud,Chief Justice
Hon'ble Rajan Roy,J.

The appellant constructed a Cold Storage in Tehsil Gunnaur, District Budaun. On 4 February 2011, the appellant filed a complaint before the Consumer Grievance Redressal Forum, Bareilly constituted by the Madhyanchal Vidut Vitran Nigam Ltd.¹ on the ground that the electricity bills which were prepared and issued to him were not in accordance with the applicable tariff.

The forum was constituted by MVVNL, the Distribution Licensee under the provisions of Section 42(5) of the Electricity Act, 2003². The complaint was allowed by the forum on 4 May 2011. Thereupon, the Executive Engineer of MVVNL filed an appeal/representation before the Ombudsman under Regulation 8.1 of the U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum and Electricity Ombudsman) Regulations, 2007³. The appellant raised an objection to the maintainability of the appeal/representation. On 29 February 2012, the appellant filed a writ petition⁴ at Allahabad to challenge the provisions of the

1 MVVNL

2 Act

3 Regulations of 2007

4 Writ Petition No.10771 of 2012

Regulations of 2007 and more particularly, Regulation 8.1 to the extent that it empowers the Distribution Licensee to move the Electricity Ombudsman on the ground that this was ultra vires the sub-sections (6) and (7) of Section 42 of the Act and beyond the power to frame Regulations under Section 181(2) of the Act. The Division Bench passed an interim order dated 29 February 2012 directing the Ombudsman to decide on the objection. The writ petition is pending.

In the meantime in a judgment of a learned Single Judge of this Court in **Dakschinanchal Vidut Vitran Nigam Ltd. vs. Vidut Lokpal and others**⁵, it was held that the Regulations of 2007 insofar as they empowered the Distribution Licensee to move the Electricity Ombudsman are ultra vires sub-sections (5) and (6) of Section 42 of the Act, and to that extent Regulation 8 is contrary to law.

On 18 May 2012, the representation filed by the Executive Engineer of MVVNL was dismissed by the Electricity Ombudsman. Thereupon, a writ petition was filed by the Executive Engineer in order to challenge the order of the Ombudsman. Several objections were raised by the appellant to the maintainability of the writ petition including on grounds of the locus of the Executive Engineer.

The learned Single Judge by a judgment and order dated 27 November 2015 allowed the writ petition and rejected the contention of the appellant to the effect that the Distribution Licensee could not file an appeal/representation before the Ombudsman in view of the specific

⁵ Writ Petition No.4237 (M/S) of 2008 decided on 6 January 2012

provisions contained in sub-sections (5) and (6) of Section 42 of the Act which only empower the consumer to do so. The learned Single Judge held that while the provisions of Regulation 8 which empowers the Distribution Licensee also to move the Ombudsman have been declared to be ultra vires in a judgment of a learned Single Judge dated 6 January 2012, in **Dakschinanchal Vidut Vitran Nigam Ltd. (supra)**, a Division Bench of this Court had settled the controversy in a judgment in **M/s Jindal Poly Films Ltd. vs. U.P. Electricity Regulatory Commission, Lucknow and others**⁶ on 15 April 2011. The learned Single Judge accordingly while disposing the writ petition overruled the objection of the appellant and set aside the order dated 18 May 2012 passed by the Ombudsman. While restoring the proceedings before the Ombudsman, a direction was issued to the effect that the Ombudsman shall consider and decide the representation submitted by the respondent while at the same time deciding the preliminary objections of the appellant including that to the locus of the respondent or an Executive Engineer to file the appeal or representation.

The learned Single Judge was evidently bound by the judgment of the Division Bench in **M/s Jindal Poly Films Ltd. (supra)** which was delivered on 15 April 2011. The subsequent decision of the learned Single Judge dated 6 January 2012 in **Dakschinanchal Vidut Vitran Nigam Ltd. (supra)** did not notice the earlier decision of the Division Bench. The issue before this Court is whether the judgment of the Division Bench does in fact lay down the correct principle of law. We are inclined to refer the matter to a Full

⁶ Writ Petition No.3456 (M/B) of 2011 decided on 15 April 2011

Bench having reservations about the principle which has been laid down in the judgment of the Division Bench. We now indicate our reasons for doing so.

Sub-sections (5), (6) and (7) of Section 42 of the Act provide as follows:

“(5) Every distribution licensee shall, within six months from the appointed date or date of grant of licence, whichever is earlier, establish a forum for redressal of grievances of the consumers in accordance with the guidelines as may be specified by the State Commission.

(6) Any consumer, who is aggrieved by non-redressal of his grievances under sub-section (5), may make a representation for the redressal of his grievance to an authority to be known as Ombudsman to be appointed or designated by the State Commission.

(7) The Ombudsman shall settle the grievance of the consumer within such time and in such manner as may be specified by the State Commission.”

These provisions indicate that sub-section (5) of Section 42 of the Act casts an obligation on the Distribution Licensee to establish a forum for the redressal of the grievances of consumers in accordance with the guidelines of the State Commission. Under sub-section (6), a right of recourse is made available to the consumer who is aggrieved by the non-redressal of his grievance under sub-section (5) in the form of a remedy before the Ombudsman to be appointed or designated by the State Commission. Under

sub-section (7), the Ombudsman is required to settle the grievance of the consumer within such time and in such manner as may be specified by the State Commission. By section 181, the State Commission is empowered to frame Regulations for the purpose of carrying out the provisions of the Act. This power extends to the matters inter alia specified in sub-section (2) which include in clause (r), the framing of guidelines under sub-section (5) of Section 42 and, in clause (s) the time and manner for settlement of grievances under sub-section 7 of Section 42 of the Act. The Regulations which have been framed by the State Commission provide as follows:

“8.1 (i) Any person aggrieved by the order made by the Forum or where the Forum has failed to redress the grievance within the specified period or Distribution Licensee is aggrieved by the order of the Forum, may prefer representation to the 'Electricity Ombudsman'.”

Regulation 8.1 confers a remedy both to the Distribution Licensee as well as to a person aggrieved by the order of the forum before the Electricity Ombudsman.

Before the Division Bench in **Dakschinanchal Vidut Vitran Nigam Ltd. (supra)**, it was specifically submitted that since sub-sections (5), (6) and (7) of Section 42 have conferred a right only on the consumer to move the forum in the first instance and thereafter the Ombudsman, Regulation 8.1 is ultra vires the provisions of the parent statute inasmuch as it authorizes the Distribution Licensee also to move the Ombudsman. On this ground, the provisions of Section 8.1 were sought to be impugned before the Division

Bench. The Division Bench repelled the contention with the following observations:

“Now, it is settled proposition of law that the statutory provisions should read as a whole and it should be read section by section or word by word. The aim and object of the Electricity Act should not be inferred only by reading sub-section (5) & sub-section (6) of Section 42 of the Act, but, the other provisions of the Act should also be read alongwith the provisions of section 42 of the Act which reveals that ample power has been given to the Regulatory Commission for the purpose provided under Clause 8.1 of the Regulations framed under the Act. Accordingly, we are of the view that Clause 8.1 of the U.P.E.R.C. of the Regulations, does not violate the statutory provisions. It is intra-virus to the Act and does not suffer from any substantial illegality which may call for interference by this court under Article 226 of the Constitution of India.

It is settled law that there shall always be presumption with regard to constitutional validity of the Act, Rules or Regulations. The burden shall always be on the part of the petitioner who assail validity of the statutory provisions. In the present case, learned counsel for the petitioner has referred only sub-section(5) & sub-section (6) of Section 42 of the Act without giving meaning to other related provisions of the Act. Accordingly, there appears no illegality in the impugned regulations framed under the Act and calls for no interference by this court under Article 226 of the Constitution of India.”

We are of the view that the judgment of the Division Bench requires reconsideration particularly having due regard to the fact that the Parliament

while enacting the provisions of the Act has specifically conferred a remedy only on the consumer under sub-sections (5), (6) and (7) of Section 42. As sub-section (5) indicates, the Distribution Licensee is obligated to constitute a forum for redressing the grievances of the consumers in accordance with the guidelines of the State Commission. These guidelines are formulated by the State Commission under clause (r) of sub-section (2) of Section 181 of the Act. Under sub-section (6) of Section 42 of the Act, a consumer who is aggrieved by the non-redressal of his grievances has the right to make a representation for the redressal of his grievance to the Ombudsman. Sub-section (7) similarly makes it clear that the Ombudsman shall settle the grievance of the consumer within such time and in such manner as may be specified by the State Commission. The Regulations have sought to create a remedy for the Distribution Licensee under Regulation 8.1(i). The first part of Regulation 8.1(i) stipulates that any person aggrieved by the order of the forum or where the forum has failed to redress the grievance may prefer a representation to the Ombudsman. The latter part of the Regulation 8.1 (i) however also states that if a Distribution Licensee is aggrieved by the order of the forum it may move the Ombudsman. This was not within the contemplation of Parliament when sub-sections (5), (6) and (7) of Section 42 of the Act were enacted and hence there is a substantial ground to doubt the validity of Regulation 8.1(i). The judgment of the Division Bench in **M/s Jindal Poly Films Ltd. (supra)** with respect proceeds on a general assertion that statutory provisions should be read as a whole and not “section by

section or word by word”. While there is no doubt about the general principle of law that a statute shall be read as a whole, the judgment of the Division Bench does not trace a specific source of statutory power for the framing of a Regulation which enlarges the ambit of the jurisdiction which is conferred upon the Electricity Ombudsman by a provision contained in the parent statute which has been enacted by the Parliament. Hence, it is questionable as to whether such an enlargement of jurisdiction could have been effected by the subordinate legislative power of framing Regulations in a manner inconsistent with the provisions of sub-sections (5), (6) and (7) of Section 42 of the Act.

In a recent judgment, the Supreme Court in **Petroleum and Natural Gas Regulatory Board vs. Indraprastha Gas Ltd.**⁷ held that it was not open to the Petroleum and Natural Gas Regulatory Board, constituted under a Parliamentary Act of 2006 in the exercise of a designated authority, to frame a Regulation which would not be in accordance with the statutory provisions. The Supreme Court held that the Board cannot frame a Regulation to cover the determination of network tariff for city or local natural gas distribution networks and compression charge for CNG. In that context, it was held as follows:

“**53.** In the case at hand, the Board has not been conferred such a power as per Section 11 of the Act. That is the legislative intent. Section 61 enables the Board to frame Regulations to carry out the purposes of the Act and certain specific aspects

7 (2015) 9 SCC 209

have been mentioned therein. Section 61 has to be read in the context of the statutory scheme. The regulatory provisions, needless to say, are to be read and applied keeping in view the nature and textual context of the enactment as that is the source of power. On a scanning of the entire Act and applying various principles, we find that the Act does not confer any such power on the Board and the expression “subject to” used in Section 22 makes it a conditional one. It has to yield to other provisions of the Act. The power to fix the tariff has not been given to the Board. In view of that the Board cannot frame a Regulation which will cover the area pertaining to determination of network tariff for city or local gas distribution network and compression charge for CNG. As the entire Regulation centres around the said subject, the said Regulation deserves to be declared ultra vires, and we do so.”

For the above reasons, we refer the following questions of law for determination by a larger Bench of this Court:

(I) In view of the provisions of sub-sections (5), (6) and (7) of Section 42 of the Electricity Act, 2003, under which a consumer who is aggrieved by non-redressal of his grievance is permitted to make a representation before the Ombudsman and the Ombudsman is required to settle the grievance of the consumer, whether Regulation 8.1(i) of the Uttar Pradesh Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007 is ultra vires the provisions of the Act;

(II) Whether the judgment of the Division Bench in **M/s Jindal Poly Films**

Ltd. vs. U.P. Electricity Regulatory Commission, Lucknow decided on 15 April 2011 can be regarded as laying down the correct principle of law.

The Joint Registrar (Listing) is directed to take necessary administrative directions for constitution of a Full Bench. Pending the disposal of the reference to the Full Bench and since proceedings are now listed before the Ombudsman in pursuance of the directions of the learned Single Judge, we direct that the proceedings shall remain stayed pending further orders of this Court.

Order Date :- 20.1.2016
VMA

(Dr. D.Y. Chandrachud, C.J.)

(Rajan Roy, J.)

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.
(Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra

Hon'ble Amreshwar Pratap Sahi,J.

Hon'ble Anil Kumar,J.

Hon'ble Attau Rahman Masoodi,J.

This reference has been placed in view of the orders dated 20.01.2016 relating to the correctness or otherwise of the judgment dated 15.04.2011, the judgment of the learned Single Judge dated 06.01.2012 and the judgment of another learned Single Judge dated 27.11.2015 giving rise to the special appeal in which the present reference has been made.

The arguments have been advanced on behalf of the respondent no.1 by Sri J.N.Mathur, learned senior counsel assisted by Sri Amarjeet Singh Rakhra and Ms Aprajita Bansal contending that the reference which has been made noticing the position of law also requires consideration by this Full Bench vis a vis the provisions of Section 42(5) (6) and (7) of the Electricity Act, 2003 read with Section 181 and the Regulations, 2007 in order to appreciate that the provisions made under 2007 Regulations giving of a forum of redressal to the Distribution Licensee before the Ombudsman is not in any way in conflict with the provisions of 2003 Act. To the contrary, the said provision supplements the act in aid of the fulfillment of the object and purpose for which the provision of ombudsman was made under the Act. The regulations are subordinate legislation having been placed before the houses of the legislature and even otherwise such legislation is also within the competence of the State as the subject matter is covered by Entry 38 of List III (Concurrent List 3) of the 7th Schedule of the Constitution.

It has been further pointed out that as a matter of fact the Regulations of 2007 have been framed by the U.P.State Electricity Regulatory Commission in exercise of powers under Section 181 of the 2003 Act and consequently, the regulations having been questioned, it would be appropriate that the State Regulatory Commission is also heard in the matter.

We accept this proposition and we issue notice to the U.P. State Regulatory Commission through its Secretary for assisting the Court keeping in view the issue which has been raised in this reference which would require an answer upon hearing the Commission as well.

The office shall take steps to issue notices accordingly. Learned counsel are requested to provide the address and the correct array of the parties to the office for issuance of such notice within a period of three days from today.

The notices upon service shall be reported by the Office by the next date of hearing.

The arguments could not be concluded today. List on Friday the 13th of May 2016 at 2.00 p.m.

Order Date :- 29.4.2016

Shahnaz

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.
(Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra

Hon'ble Amreshwar Pratap Sahi,J.

Hon'ble Anil Kumar,J.

Hon'ble Attau Rahman Masoodi,J.

Heard Sri Bidhan Chandra Rai, learned Counsel for the appellant, Sri J. N. Mathur, learned Senior Counsel assisted by Ms.Aparajita Bansal and Sri Amarjeet Singh Rakhra for Pashchimanchal Vidyut Vitran Nigam Limited. Sri Sanjay Singh who has put in appearance today on behalf of the U.P. Electricity Regulatory Commission has filed his Vakalatnama. The same is taken on record.

We had proceeded with the matter on 29.4.2016 and had called upon the State Regulatory Commission to assist the Court keeping in view the issues which have been raised, particularly the authority of the U.P. Electricity Regulatory Commission to have framed the Regulations 2002 providing for a forum to the Distribution Licensee in respect of grievances before the Ombudsman. It was necessary to hear the State Regulatory Commission inasmuch as the Regulations 2002 have been framed by the Commission conferring right of representation on the Distribution Licensee. The referring order dated 20.1.2016 squarely touches upon the said issue of the right of the Distribution Licensee to avail of such remedy of redressal of the grievances before the Ombudsman. The issues which gave rise to the reference have been indicated in the referring order dated 20.1.2016 and our earlier order dated 29.4.2016.

However, today when the matter proceeded, the position that emerges is that the Electricity Act, 2003, under Section 42 makes a provision relating to the aforesaid subject matter, particularly Sub-Section (5), Sub-Section (6) and Sub-Section (7) thereof. It is also noticed that the Central Government has been authorized to frame Rules under Section 176 of the 2003 Act whereas, Section 181 (2) of the Act prescribes the powers of the State Regulatory Commission to frame Regulations with specific reference to Section 42 as well.

In 2005, vide notification dated 8.6.2005, the Electricity Rules were framed by the Central Government. Rule - 7 thereof made a provision for a grievance forum and redressal before the

Ombudsman vis-a-vis the consumer only.

Prior to framing of these Rules, the U.P. Electricity Regulatory Commission had framed its Regulations on 9.12.2003. These Regulations however came to be superseded by the Regulations which were framed in the year 2007 and in these Regulations, Regulation 8.1 was introduced extending the benefit of the forum to the distribution licensee before the Ombudsman.

It is this issue which gave rise to this Reference inasmuch as there were three judgments that have been noticed in the referring order indicating a conflict in the views of making available such a forum to the Distribution Licensee.

When the matter proceeded today, Sri J.N.Mathur pointed out that these Rules of 2005 have been framed by the Central Government and a perusal of the said Rules, particularly Rule - 7 thereof does not indicate the creation of any forum for the distribution licensee and secondly, the power of the State Regulatory Commission to frame a Regulation in respect of such a forum therefore has to be assessed as to whether it is in conflict with the 2005 Rules, or otherwise the said Rules, 2005 are in excess of the authority conferred on the Central Government under Section 176 of the 2003 Act.

Sri Mathur has further pointed out that so far as the Distribution Licensee is concerned, there does not appear to be any power conferred on the Central Government to provide any such forum to it. He contends that within the State of U.P. if the Regulations have been framed in the year 2007 on the subject matter which is exclusively available under Section 181 (2) with the State Regulatory Commission, then in that event the 2005 Rules would not apply within the State of U.P. Consequently, there is no codified or apparent conflict and the Regulations having already been framed, the said forum is available to the Distribution Licensee under the 2007 Regulations. He further contends that the Distribution Licensee has been granted a license in terms of the Regulation making power under Section 181 (2) (d) of the Electricity Act, 2003 read with the provisions of Section 16 of the Act. He urges that if the Distribution Licensee has been bound by such terms and conditions that are also spelt out in the above provisions that the licensee will be bound by the terms and conditions of the Regulations framed, then in that event the terms and conditions of providing for a redressal before the Ombudsman should be impliedly read in favour of a licensee.

He then submits that even otherwise the Ombudsman is an independent person to be appointed by the State Regulatory Commission and consequently, there is no regulation or control of the distribution licensee over the Ombudsman as provided for under Regulation 8.1 of the 2007 Regulations. The same should therefore be read as a provision having been consciously made keeping in view the provisions of the licence as also the powers of

the State Regulatory Commission to frame Regulations. In such view of the matter, his submission is that the Regulations will prevail over the Electricity Rules, 2005 to that extent as the authority to legislate on the said subject matter is available exclusively with the State Regulatory Commission itself.

The contention therefore is that without there being any prescription in favour of the Central Government, and with a positive prescription in favour of the said State Regulatory Commission, the aforesaid provision under Regulation 8.1 deserves to be saved and the distribution licensee should be allowed to avail the remedy of getting its grievances redressed before the Ombudsman. The aforesaid contentions which have been advanced would therefore have to be addressed to after the Union of India is also put to notice inasmuch as the Electricity Rules, 2005 have been framed by the Central Government.

Learned counsel for the State Regulatory Commission will also therefore have to address the Court in order to respond to the aforesaid proposition for the purpose of answering of the Reference. Consequently, if the Electricity Rules, 2005 which have been framed cannot be allowed to prevail over the Regulations, 2002 then this Court may have to re-frame the questions that have to be answered and which arise on the issue of providing a Forum of Ombudsman to the distribution licensee. This is necessary because the judgments which have given rise to the reference as also the referring order have not indicated any opinion on the aforesaid issues that have now emerged.

Consequently, we direct the appellant to carryout necessary amendments and implead the Union of India through the Secretary of the department concerned as a respondent in this appeal. A copy of the Special Appeal shall be served on the learned counsel for the Union of India alongwith a copy of the order passed by us today to enable him to obtain instructions and to assist the Court on the issues having so arisen.

Learned counsel for the Union of India shall take notice of the referring order dated 20.1.2016, the order passed by us earlier on 29.4.2016 and the order passed today for the purpose of answering the aforesaid questions.

Learned counsel for the appellant is also permitted to add U.P. Electricity Regulatory Commission through its Secretary as a respondent in this appeal duly represented by Sri Sanjay Singh.

Let the matter come up on 27.5.2016 at 2 p.m.

Order Date :- 20.5.2016

lakshman

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.
(Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita
Bansal,Sanjai Singh

Hon'ble Amreshwar Pratap Sahi,J.

Hon'ble Anil Kumar,J.

Hon'ble Attau Rahman Masoodi,J.

This matter had been adjourned on 20.5.2016 after having noted the arguments that were advanced calling upon a copy of the petition to be served on the learned Counsel for the Union of India. The same has been duly served and Ms. Nandita Bharati has put in appearance on behalf of the Union of India.

Sri J. N. Mathur, learned Senior Counsel for the Distribution Licensee has today during the course of his submissions invited the attention of the Court to the provisions that are involved for interpretation in the present Reference, and he submits that if a holistic view of the entire problem raised in this matter is taken, then there does not appear to be any real conflict between the Regulations, 2007 and the Electricity Rules, 2005 much less any inconsistency so as to strike down the Regulations or read them down in the face of the Electricity Rules, 2005. To the contrary, he contends that in view of the provisions of Section 181 (1) and (2) (s), the Forum for redressal of a grievance including that of an Ombudsman is within the powers of the State Regulatory Commission. It is the State Regulatory Commission which appoints the Ombudsman and therefore, under the Regulations, the State Regulatory Commission can also in exercise of such special powers provide for a forum to the Distribution Licensee as has been done in the present case. He submits that the same does not override or contradict the Forum provided to the consumer. For this, he submits that Section 42 (5) and (7) of the 2003 Act read with the Electricity Rules, 2005 do occupy the field conferring authority on the Ombudsman vis-a-vis the consumer, but they do not prohibit the utilization of the same Forum by the Distribution Licensee. As an illustration, it is pointed out that if there is an order passed by the Grievance Redressal Forum, which is partly in favour of a consumer and partly against it, and on the other hand it would also amount to partly being in favour of the Distribution Licensee and partly against it, then in that event, the very same order can be subjected to scrutiny by way of a representation before the Ombudsman by the consumer. The option left to the Distribution

Licensee is to file a writ petition before the High Court. There is no plausible reason to deny the same forum to the Distribution Licensee that appears to be a procedural discrimination for no valid purpose. He therefore submits that the same order if subjected to challenge before two forums would ultimately result in an inconvenience and hardship to the consumer inasmuch as the Regulations, particularly Regulation 8.2 (d) does not allow the Ombudsman to proceed in the event the same subject matter is pending consideration before any Court of Law or any other competent authority.

The said proposition *prima facie* requires scrutiny inasmuch as if the same order has to be scrutinized and is being questioned both by the consumer and the Distribution Licensee, as per the illustration above, then in that event, a purposive interpretation of the provisions may have to be attempted in order to reconcile the provisions to ensure a settlement of the dispute which is the object of the setting up of the Grievance Redressal Forum and appointing an Ombudsman.

We therefore find that the legislation as framed is to achieve the object of the redressal of a dispute which may simultaneously involve the Consumer and the Distribution Licensee, and such problems according to the learned counsel in fact are emanating time and again, hence this question deserves to be resolved.

We have made these observations inasmuch as in our *prima facie* opinion, the Distribution Licensee can also have a possible grievance in relation to any order being passed by the Grievance Redressal Forum and in such a situation if the same Ombudsman who has been appointed by the State Regulatory Commission deals with the matter simultaneously, then that would serve the purpose of the object and achieve the purpose of the legislation which in no way can be said to be causing any inconsistency or divergence between the provisions of the Electricity Rules, 2005 and Regulations 2007.

The aforesaid arguments have been advanced in view of the judgment of the Apex Court in the case of **J.K. Cotton Spinning and Weaving Mills Co. Ltd. v. State of U.P. and others [AIR 1961 SC 1170 paragraph - 9]** and also in relation to the scope and extent of the powers under Section 181 of the Electricity Act, 2003 as explained in **Hindustan Zinc Limited v. Rajasthan Electricity Regulatory Commission [(2015) 12 SCC 611 paragraph 58]**.

However, in order to proceed with the matter further since the 2005 Rules have been framed by the Central Government, we direct the learned Counsel appearing for the Union of India to file an appropriate affidavit by a responsible officer of the concerned Ministry before us after deliberating upon the said issue, and in view of our observations already indicated relating to the question of reference vide our order dated 20.5.2016 and the order passed

today.

The question to be answered in this Reference may require re-framing or even may not be required, depending upon the affidavit to be so filed by the Central Government indicating its point of view with regard to the provision of an Ombudsman being available to the Distribution Licensee which according to the learned Counsel for the Distribution Licensee does not amount to creating an inconsistency with the provisions of Electricity Rules, 2005.

List on 15.7.2016.

Order Date :- 27.5.2016

lakshman

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner 6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Apurajita Bansal,Sanjai Singh

Hon'ble Amreshwar Pratap Sahi,J.

Hon'ble Anil Kumar,J.

Hon'ble Dr. Vijay Laxmi,J.

The arguments in this Reference were advanced and after noting the same on 20th of May, 2016, the Court had issued directions for impleading the Union of India as well as the U.P. Electricity Regulatory Commission. The Regulatory Commission is already represented in this Reference and Sri Asit Kumar Chaturvedi, learned Senior Counsel has today put in appearance on behalf of the Union of India.

The Court has drawn the attention of the learned counsel to the order dated 27th of May, 2016 and in view of the prima facie submissions that were advanced, the assistance was required to be given on the issues so raised. Sri Chaturvedi submits that the Union of India is yet to file a response in this Reference and, therefore, he prays for an adjournment of two weeks. We find this necessary keeping in view the nature of issues involved and, therefore, this Reference shall now come up on 12th of August, 2016 before the Appropriate Bench.

We may put on record that on the earlier two occasions, this Reference had been heard by the Bench presided over by one of us (Hon'ble A. P. Sahi, J.) along with Hon'ble Mr. Justice Anil Kumar and Hon'ble Mr. Justice A.R. Masoodi, It appears that the matter has been listed today according to the nomination order passed by Hon'ble the Chief Justice according to which, the Bench presided over by one of us (Hon'ble A.P. Sahi, J.) had to hear the matter along with Hon'ble Justice Anil Kumar. Due to the change of roster, one of us (Hon'ble Dr. Justice Vijay Laxmi) is there in the Bench today instead of Hon'ble Mr. Justice A.R. Masoodi.

This matter shall now be listed after a fresh nomination from Hon'ble the Chief Justice/Hon'ble the Acting Chief Justice, before a Bench of which none of us are members.

The record shall be transmitted and placed before the Hon'ble the Chief Justice/Hon'ble the Acting Chief Justice for appropriate nomination prior to the date fixed.

Order Date :- 22.7.2016

Rajneesh)

[Dr. Vijay Laxmi,J.] [Anil Kumar,J.] [Amreshwar Pratap Sahi,J.]

Court No. - 2

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Sri Asit Kumar Chaturvedi, learned Senior Advocate, assisted by Ms. Aprajita Bansal, appearing on behalf of Union of India, states that the authorities have contacted him as directed by this Court vide orders dated 27.05.2016 and 22.07.2016 for filing counter affidavit, but he has not been able to prepare the counter affidavit. He states that some more time would be required for the purpose.

In view of the fact that still the matter is under process with the authorities, we hope and expect that the counter affidavit would be filed by the next date.

Sri Chaturvedi prays for and is granted three weeks' time to file counter affidavit as directed earlier by this Court.

The matter shall come up on 08.09.2016.

Order Date :- 12.8.2016

Sachin

Court No. - 2

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Counter affidavit filed on behalf of the Union of India is taken on record.

Copy of the counter affidavit has been supplied to the counsel for the Power Corporation.

Learned counsel for the appellant prays for and is granted two weeks' time to file rejoinder affidavit to the counter affidavit filed on behalf of the Union of India.

Learned counsel for the Power Corporation will be at liberty to file reply, if necessary, to the counter affidavit filed on behalf of the Union of India.

List on 5th October, 2016 at 2:00 P.M.

It will be open for the U.P. Electricity Regulatory Commission to file counter affidavit in the meantime.

Order Date :- 8.9.2016

RBS/-

Court No. - 2

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Counter affidavit filed by Shri Sanjay Singh, Advocate on behalf of Uttar Pradesh Electricity Regulatory Commission and rejoinder affidavit filed by the appellant to the counter affidavit of respondent no.6 are taken on record.

Learned counsel for the appellant prays for and is granted two weeks' time to file rejoinder affidavit.

Let this matter be listed on 19.10.2016 at 2 PM.

Order Date :- 5.10.2016

Anupam

Court No. - 2

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Counsel for the appellant and counsel for the respondents have some difficulty, on account of which a prayer for adjournment of the case has been made.

On their request, list this case on 17.11.2016.

Counsel for the parties are directed to file complete copy of the paper book within ten days. They may also submit their written arguments before the next date,if they so desire.

Order Date :- 19.10.2016

Rao/-

Court No. - 2

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Rejoinder affidavit in response to the counter affidavit of respondent no. 5 filed today in Court is taken on record.

Mr. J.N. Mathur, learned senior advocate assisted by Mr. Amarjeet Singh Rakhra and Ms. Aprajita Bansal are present on behalf of respondents.

Learned counsel for the appellant has put forward his arguments. He is continuing with his arguments but owing to the paucity of time, let the matter come up on 23.11.2016 at 2.00 PM.

Order Date :- 17.11.2016

N.Mohan

Court No. - 2

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And
Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

The arguments advanced on behalf of appellant by Sri B.C. Rai assisted by Mr. Tanveer Ahmad Siddiqui have been concluded.

Mr. J.N.Mathur, learned Sr. Advocate assisted by Ms. Aprajita Bansal and Mr. Amarjeet Singh Rakhra, learned counsel for the respondents submits that the matter may come up on 1.12.2016 so that arguments may be advanced on behalf of the respondents.

It is to be noted that Mr. B.C. Rai, Advocate has concluded his arguments on behalf of the appellant.

List this matter on 1.12.2016 at 12.00 p.m.

Order Date :- 23.11.2016

Arjun/-

Court No. - 2

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Apurita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Shri J.N. Mathur, learned Senior Advocate assisted by Ms Apurita Bansal, learned counsel appearing for the opposite party no.1 is in the midst of his arguments.

List this matter on 15.12.2016 at 12:00 P.M.

Order Date :- 1.12.2016

Anupam

Court No. - 2

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam
Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh
Rakhra,Apurajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Mr. J.N. Mathur, learned Senior Advocate assisted by Ms.
Apurajita Bansal, learned counsel has concluded his
arguments on behalf of Distribution Licensee.

Mr. Sanjay Singh, learned counsel states that he would like
to argue on behalf of the Electricity Regulatory Commission
tomorrow.

Put up tomorrow i.e., 16.12.2016 at 2 O'clock.

Order Date :- 15.12.2016
Santosh/-

Court No. - 2

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam
Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh
Rakhra,Apurajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Shri Sanjay Singh, learned counsel appearing on behalf of Uttar Pradesh Electricity Regulatory Commission has advanced his arguments and learned counsel appearing for the Union of India has also advanced his arguments. Counsel for the appellants has to reply to the arguments raised by the counsel for the respondents.

List on 11.01.2017 at 2.00 p.m.

Order Date :- 16.12.2016

Deepak

Court No. - 10

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Sri R.N. Sharma, Advocate is in the midst of his argument on behalf of the petitioner in connected writ petition and says that he will continue his argument on the next date. Learned counsel Sri Tanveer Ahmad Siddiqui holding brief of Sri B.C. Rai states that Sri Rai would be available on 19th January, 2017.

Accordingly, list this matter on 19th January, 2017 at 02.00 p.m.

Order Date :- 11.1.2017

Pradeep/-

Court No. - 10

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Heard learned counsel for the appellant Sri B.C. Rai, Sri Ram Niwas Sharma, Sri Tanveer Ahmad Siddiqui as well as learned counsel for U.P. Electricity Regulatory Commission Sri Sanjay Singh, for Distribution Licensee Sri J.N. Mathur, learned Senior Advocate assisted by Ms. Aparajita Bansal and Sri S.B. Pandey, learned Assistant Solicitor General of India assisted by Ms. Nandita Bharti.

Judgment reserved.

Order Date :- 20.1.2017

Pradeep/-

Court No. - 7

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

This case has been fixed for delivery of judgment/orders today, but we feel it appropriate to post this matter for rehearing on the next Monday i.e. 9.4.2018.

List on 9.4.2018 for rehearing.

Learned counsel for the parties are present. They may come prepared on the next date to address the Court in respect of the issue in question.

Order Date :- 2.4.2018

RBS/-

Court No. - 7

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

A statement has been made on behalf of the petitioner's counsel that he is out of station in connection with his personal engagements, therefore, he is unable to present himself before the Court today for advancing his arguments for rehearing. A request has been made on behalf of the petitioner's counsel to post this matter on 16.4.2018.

On the aforesaid request, list this case on 16.4.2018 at 2:00 PM for rehearing.

Order Date :- 9.4.2018

RBS/-

Court No. - 7

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Sri B.C. Rai learned counsel for the petitioner has concluded his arguments during the course of re-hearing. Sri J.N. Mathur Senior Advocate appearing on behalf of the respondents is in the midst of his argument.

Put up on 18.4.2018 at 2.00 P.M. for further hearing.

Order Date :- 16.4.2018

prabhat

Court No. - 7

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors. (Full
Bench)

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Apurita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

List on 02.05.2018 for further arguments of Sri J.N. Mathur, learned
Senior Advocate assisted by Sri Amarjeet Singh Rakhra, learned counsel
for the respondents.

Order Date :- 18.4.2018

Pradeep/-

Court No. - 7

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam
Ltd.And Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh
Rakhra,Apurajita Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Written arguments filed on behalf of the Central
Government are taken on record.

Put up on 8.5.2018 at 2 PM for further arguments.

It is made clear that the matter would be heard on day-to-
day basis.

Order Date :- 2.5.2018

Santosh/-

Court No. - 7

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And
Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Shri J.N. Mathur, Senior Advocate appearing on behalf of the
respondents is in the midst of his argument.

Put up **tomorrow, i.e.09.05.2018** at 2:00 P.M. for further
hearing.

Order Date :- 8.5.2018

Pks

Court No. - 7

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Apurita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Sri R.N. Sharma, Sri J.N. Mathur, learned Senior Advocate assisted by Sri Amarjeet Singh Rakhra, as well as Sri Sanjai Singh have concluded their arguments.

List/put up on 16.5.2018 at 2:00 p.m. for arguments of Sri B.C. Rai, learned counsel for the petitioner and Sri S.B. Pandey, learned Assistant Solicitor General of India.

Order Date :- 9.5.2018

Sachin

Court No. - 7

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Apurita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Satyendra Singh Chauhan,J.

Hon'ble Ritu Raj Awasthi,J.

Hon'ble Rakesh Srivastava,J.

Arguments had been concluded on 20.1.2017 and the judgment was reserved.

This case was fixed on 2.4.2018 for delivery of judgment/orders but the court wanted to clarify certain points and fixed the matter for re-hearing on 9.4.2018. Thereafter re-hearing was started in the matter and continued up till today.

Looking to the nature of hearing, it appears that the hearing of the case would not be completed shortly and if at all completed, then transcription of the judgment would also be difficult as one of us (S.S. Chauhan, J.) is demitting office on 4.7.2018, therefore, one of us (S.S.Chauhan, J.) recuses from the present Bench.

Hon'ble the Chief Justice is requested to nominate another Hon'ble Judge in the matter.

List after obtaining nomination from Hon'ble the Chief Justice.

Order Date :- 16.5.2018

prabhat

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Vikram Nath,J.

Hon'ble Rajesh Singh Chauhan,J.

Hon'ble Abdul Moin,J.

We have heard Sri B.C. Rai, learned counsel for the appellant and Sri J.N. Mathur, learned Senior Advocate, assisted by Sri Amarjeet Singh Rakhra and Ms. Aprajita Bansal, learned counsel for the respondents.

Arguments of Sri Mathur are going on.

List on 17.09.2018 at 02.15 PM for further arguments.

Order Date :- 27.8.2018

A. Katiyar

(Vikram Nath, J.)

(Rajesh Singh Chauhan, J.)

(Abdul Moin, J.)

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Vikram Nath,J.

Hon'ble Rajesh Singh Chauhan,J.

Hon'ble Abdul Moin,J.

Arguments of Sri Jaideep Narain Mathur, learned Senior Advocate, assisted by Sri Amarjeet Singh Rakhra and Ms. Aprajita Bansal, learned counsel for respondent no.1 are continuing.

Put up tomorrow i.e. 18.9.2018 at 3:00 PM for further arguments.

Order Date :- 17.9.2018

RBS/-

(Abdul Moin,J.) (Rajesh Singh Chauhan,J.) (Vikram Nath,J.)

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And
Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Vikram Nath,J.

Hon'ble Rajesh Singh Chauhan,J.

Hon'ble Abdul Moin,J.

Sri J.N. Mathur, learned Senior Advocate assisted by Sri Amarjeet Singh Rakhra and Ms. Aprajita Bansal, learned counsels have concluded their arguments on behalf of respondent no.1

Put up tomorrow i.e. 19.09.2018 at 2:15 p.m. for arguments of Sri Sanjay Singh, learned counsel representing the U.P.E.R.C and thereafter in rejoinder on behalf of the petitioners.

Order Date :- 18.9.2018

Ashutosh

[Abdul Moin, J.] [Rajesh Singh Chauhan, J.] [Vikram Nath, J.]

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Apurita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Vikram Nath,J.

Hon'ble Rajesh Singh Chauhan,J.

Hon'ble Abdul Moin,J.

Arguments of Sri Sanjay Singh, learned counsel appearing for the U.P.
Electricity Regulatory Commission has concluded.

Put up tomorrow, i.e 20.09.2018 at 0215 PM for the arguments of the
learned counsel for the appellant in rejoinder.

Order Date :- 19.9.2018

Pachhere/-

(Abdul Moin, J.) (Rajesh Singh Chauhan, J.) (Vikram Nath, J.)

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Vikram Nath,J.

Hon'ble Rajesh Singh Chauhan,J.

Hon'ble Abdul Moin,J.

The arguments of Sri B.C. Rai, learned counsel for the appellant are continuing in rejoinder.

List on 30th October, 2018 at 2.15 P.M. for further arguments of Sri Rai.

Order Date :- 20.9.2018

Rakesh

(Abdul Moin, J.) (Rajesh Singh Chauhan, J.) (Vikram Nath)

Court No. - 1

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And
Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan
Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Vikram Nath,J.

Hon'ble Rajesh Singh Chauhan,J.

Hon'ble Abdul Moin,J.

We have heard Sri B.C. Rai, learned counsel for the appellant, Sri J.N. Mathur, Senior Advocate assisted by Sri Amarjeet Singh Rakhra, learned counsel representing respondent Nos.1 & 2, Sri Sanjay Singh, learned counsel representing respondent No.5 and Sri S.B. Pandey, learned Assistant Solicitor General of India along with Ms. Nandita Bharati, Advocate representing the Union of India- respondent No.6

Order reserved.

Order Date :- 30.10.2018

Suresh/

[Abdul Moin,J.] [Rajesh Singh Chauhan,J.] [Vikram Nath,J.]

A.F.R.

Reserved on : 30.10.2018

Delivered on : 03.04.2019

Case :- SPECIAL APPEAL No. - 20 of 2016

Appellant :- Kisan Cold Storage & Ice Factory Thru Partner
6114(M/S)2012

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd.And Ors.

Counsel for Appellant :- Tanveer Ahmad Siddiqui,Bidhan Chandra Rai

Counsel for Respondent :- Amarjeet Singh Rakhra,Aprajita
Bansal,Nandita Bharti,Sanjai Singh

Hon'ble Vikram Nath, J.

Hon'ble Rajesh Singh Chauhan, J.

Hon'ble Abdul Moin,J.

(Per Abdul Moin, J.)

1. We have heard Sri B.C. Rai, learned counsel for the appellant, Sri J.N. Mathur, Senior Advocate assisted by Sri Amarjeet Singh Rakhra and Ms. Aprajita Bansal, learned counsel representing respondent Nos.1 & 2, Sri Sanjay Singh, learned counsel representing respondent No.5 and Sri S.B. Pandey, learned Assistant Solicitor General of India along with Ms. Nandita Bharati, Advocate representing the Union of India- respondent No.6.

2. The present reference before the Full Bench has been occasioned by a referring order of a Division Bench dated 20.01.2016. The Division Bench upon noticing that there was a conflict between the decisions of the Division Bench in the case of M/s Jindal Poly Films Limited vs. U.P. Electricity Regulatory Commission, Lucknow and others in Writ Petition No.2456 (MB) of 2011 decided on 15.04.2011 and the judgment of Single Judge in the case of Dakshinanchal Vidyut Vitran Nigam Limited vs. Vidyut Lokpal Lucknow and others in Writ Petition No.4237 (MS) of 2008 as well as another judgment by Single Judge in the case of Pachimanchal Vidyut Vitran Nigam Limited vs. Electricity Ombudsman and others in Writ Petition No.6411 (MS) of 2012 and being of the view that the judgment of the Division Bench in the case of M/s Jindal Poly Films Limited requires reconsideration keeping in view the provisions of Section 42 (5) (6) and (7) of the Electricity Act, 2003 (hereinafter referred to as 'the Act, 2003') has referred the following questions of law for decision:-

"(I) In view of the provisions of sub-sections (5), (6) and (7) of Section 42 of the Electricity Act, 2003, under which a consumer who is aggrieved by non-redressal of his grievance is permitted to make a representation before the Ombudsman

and the Ombudsman is required to settle the grievance of the consumer, whether Regulation 8.1(i) of the Uttar Pradesh Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007 is ultra vires the provisions of the Act;

(II) Whether the judgment of the Division Bench in M/s Jindal Poly Films Ltd. vs. U.P. Electricity Regulatory Commission, Lucknow decided on 15 April 2011 can be regarded as laying down the correct principle of law."

3. While dealing with the questions which have been framed for consideration by the Full Bench, it would be convenient to reproduce the relevant provisions of the Electricity Act, 2003 along with the Regulations of the Uttar Pradesh Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007 (hereinafter referred to as 'the Regulations, 2007') which are set out below:-

4. The "Area of Supply" has been defined under **Section 2(3)** of the Act, 2003, as under:-

"area of supply" means the area within which a Distribution Licensee is authorised by his licence to supply electricity;

5. The "Consumer" under the provisions of the Act, 2003 has been defined in **Section 2(15)** of the Act, 2003, as under:-

"consumer" means any person who is supplied with electricity for his own use by a Licensee or the Government or by any other person engaged in the business of supplying electricity to the public under this Act or any other law for the time being in force and includes any person whose premises are for the time being connected for the purpose of receiving electricity with the works of a Licensee, the Government or such other person, as the case may be;

6. A "Distribution Licensee" has been defined under **Section 2(17)** of the Act, 2003, as under:-

"Distribution Licensee" means a Licensee authorised to operate and maintain a distribution system for supplying electricity to the consumers in his area of supply;

7. A "Licensee" has been defined under **Section 2 (39)** of the Act, 2003, as under:-

"Licensee" means a person who has been granted a licence under section 14;

8. 'Rules" have been defined under Section 2 (59) of the Act, 2003 as "rules" means rules made under the Act.

9. The "State Commission" has been defined under **Section 2(64)** of the Act, 2003, as under:-

"State Commission" means the State Electricity Regulatory Commission constituted under sub-section (1) of section 82 and includes a Joint Commission constituted under sub-section (1) of section 83;

10. Section 42 of the Act, 2003 provides as follows:-

"Section 42. (Duties of Distribution Licensee and open access): --- (1) It shall be the duty of a Distribution Licensee to develop and maintain an efficient, co-ordinated and economical distribution system in his area of supply and to supply electricity in accordance with the provisions contained in this Act.

(2) The State Commission shall introduce open access in such phases and subject to such conditions, (including the cross subsidies, and other operational constraints) as may be specified within one year of the appointed date by it and in specifying the extent of open access in successive phases and in determining the charges for wheeling, it shall have due regard to all relevant factors including such cross subsidies, and other operational constraints:

Provided that [such open access shall be allowed on payment of a surcharge] in addition to the charges for wheeling as may be determined by the State Commission:

Provided further that such surcharge shall be utilised to meet the requirements of current level of cross subsidy within the area of supply of the Distribution Licensee:

Provided also that such surcharge and cross subsidies shall be progressively reduced in the manner as may be specified by the State Commission: Provided also that such surcharge shall not be leviable in case open access is provided to a person who has established a captive generating plant for carrying the electricity to the destination of his own use:

[Provided also that the State Commission shall, not later than five years from the date of commencement of the Electricity (Amendment) Act, 2003, by regulations, provide such open access to all consumers who require a supply of electricity where the maximum power to be made available at any time exceeds one megawatt.]

(3) Where any person, whose premises are situated within the area of supply of a Distribution Licensee, (not being a local authority engaged in the business of distribution of electricity before the appointed date) requires a supply of electricity from a generating company or any Licensee other than such Distribution Licensee, such person may, by notice, require the Distribution Licensee for wheeling such electricity in accordance with regulations made by the State Commission and the duties of the Distribution Licensee with respect to such supply shall be of a common carrier providing non-discriminatory open access .

(4) Where the State Commission permits a consumer or class of consumers to receive supply of electricity from a person other than the Distribution Licensee of his area of supply, such consumer shall be liable to pay an additional surcharge on the charges of wheeling, as may be specified by the State Commission, to meet the fixed cost of such Distribution Licensee arising out of his obligation to supply.

(5) Every Distribution Licensee shall, within six months from the appointed date or date of grant of licence, whichever is earlier, establish a Forum for redressal of grievances of the consumers in accordance with the guidelines as may be specified by the State Commission.

(6) Any consumer, who is aggrieved by non-redressal of his grievances under sub-section (5), may make a representation for the redressal of his grievance to an authority to be known as Ombudsman to be appointed or designated by the State Commission.

(7) The Ombudsman shall settle the grievance of the consumer within such time and in such manner as may be specified by the State Commission.

(8) The provisions of sub-sections (5),(6) and (7) shall be without prejudice to right which the consumer may have apart from the rights conferred upon him by those sub-sections."

11. From perusal of Section 42 of the Act, 2003 along with the definitions as set forth above, it clearly comes out that it shall be the duty of the Distribution Licensee to develop and maintain an efficient, coordinated and economical distribution system in his area of supply and

to supply the electricity in accordance with the provisions contained in the Act, 2003. As per sub-section (5) of Section 42 of the Act, 2003, every Distribution Licensee shall, within six months from the appointed date or date of grant of licence, **establish a Forum for redressal of grievances of the consumers in accordance with the guidelines as may be specified by the State Commission**. Sub-section (6) of Section 42 of the Act, 2003, provides that any **consumer, who is aggrieved by non-redressal of his grievances under sub-section (5), may make a representation for the redressal of his grievance to an authority to be known as "Ombudsman"** to be appointed or designated by the State Commission. As per sub-section (7) of Section 42 of the Act, 2003, the Ombudsman shall settle the grievance of the consumer. Thus, it clearly comes out that the Distribution Licensee is to establish a Forum for redressal of grievances of the consumer who if aggrieved by non-redressal of his grievance may make a representation to the Ombudsman for the redressal of his grievance. The Forum is to be established by the Distribution Licensee in accordance with the guidelines specified by the State Commission.

12. Section 181 of Act, 2003, prescribes the power of the State Commission to make Regulations. For the sake of convenience, Section 181 of the Act, 2003, is reproduced below:-

"Section 181. (Powers of State Commissions to make regulations): --- (1) *The State Commissions may, by notification, make regulations consistent with this Act and the rules generally to carry out the provisions of this Act.*

(2) *In particular and without prejudice to the generality of the power contained in sub-section (1), such regulations may provide for all or any of the following matters, namely:-*

- (a) *period to be specified under the first proviso of section 14;*
- (b) *the form and the manner of application under sub-section (1) of section 15;*
- (c) *the manner and particulars of application for licence to be published under sub-section (2) of section 15;*
- (d) *the conditions of licence section 16;*
- (e) *the manner and particulars of notice under clause(a) of subsection (2) of section 18;*
- (f) *publication of the alterations or amendments to be made in the licence under clause (c) of sub-section (2) of section 18;*
- (g) *levy and collection of fees and charges from generating companies or Licensees under sub-section (3) of section 32;*
- (h) *rates, charges and the term and conditions in respect of intervening transmission facilities under proviso to section 36;*
- (i) *payment of the transmission charges and a surcharge under subclause (ii) of clause(d) of sub-section (2) of section 39;*

- (j) reduction 1[***] of surcharge and cross subsidies under second proviso to sub-clause (ii) of clause (d) of sub-section (2) of section 39;*
- (k) manner and utilisation of payment and surcharge under the fourth proviso to sub-clause(ii) of clause (d) of sub-section (2) of section 39;*
- (l) payment of the transmission charges and a surcharge under sub-clause (ii) of clause (c) of section 40;*
- (m) reduction 1[***] of surcharge and cross subsidies under second proviso to sub-clause (ii) of clause (c) of section 40;*
- (n) the manner of payment of surcharge under the fourth proviso to sub-clause (ii) of clause (c) of section 40;*
- (o) proportion of revenues from other business to be utilised for reducing the transmission and wheeling charges under proviso to section 41;*
- (p) reduction 2[***] of surcharge and cross-subsidies under the third proviso to sub-section (2) of section 42;*
- (q) payment of additional charges on charges of wheeling under subsection (4) of section 42;*
- (r) guidelines under sub-section (5) of section 42;*
- (s) the time and manner for settlement of grievances under sub-section (7) of section 42;*
- (t) the period to be specified by the State Commission for the purposes specified under sub-section (1) of section 43;*
- (u) methods and principles by which charges for electricity shall be fixed under sub-section (2) of section 45;*
- (v) reasonable security payable to the Distribution Licensee under sub-section (1) of section 47;*
- (w) payment of interest on security under sub-section (4) of section 47;*
- (x) electricity supply code under section 50;*
- (y) the proportion of revenues from other business to be utilised for reducing wheeling charges under proviso to section 51;*
- (z) duties of electricity trader under sub-section (2) of section 52;*
- (za) standards of performance of a Licensee or a class of Licensees under sub-section (1) of section 57;*
- (zb) the period within which information to be furnished by the Licensee under sub-section (1) of section 59;*
- 1[(zc) the manner of reduction of cross-subsidies under clause (g) of section 61;]*
- (zd) the terms and conditions for the determination of tariff under section 61;*
- (ze) details to be furnished by Licensee or generating company under sub-section (2) of section 62;*
- (zf) the methodologies and procedures for calculating the expected revenue from tariff and charges under sub-section (5) of section 62;*
- (zg) the manner of making an application before the State Commission and the fee payable therefor under sub-section (1) of section 64;*
- (zh) issue of tariff order with modifications or conditions under subsection(3) of section 64;*
- (zi) the manner by which development of market in power including trading specified under section 66;*
- (zj) the powers and duties of the Secretary of the State Commission under sub-section (1) of section 91;*

(zk) the terms and conditions of service of the secretary, officers and other employees of the State Commission under sub-section (2) of section 91;

(zl) rules of procedure for transaction of business under sub-section (1) of section 92;

(zm) minimum information to be maintained by a Licensee or the generating company and the manner of such information to be maintained under sub-section (8) of section 128;

(zn) the manner of service and publication of notice under section 130;

(zo) the form of preferring the appeal and the manner in which such form shall be verified and the fee for preferring the appeal under sub-section (1) of section 127;

(zp) any other matter which is to be, or may be, specified.

(3) All regulations made by the State Commission under this Act shall be subject to the condition of previous publication."

13. From the aforesaid, it comes out that as per sub-section (1) of Section 181, the State Commission may make Regulations **consistent with Act, 2003** and the Rules to carry out the provisions of the Act, 2003.

14. So far as the rules as referred to in Section 181 of the Act, 2003, are concerned (keeping in view the definition of "rules" under Section 2(59) of the Act, 2003, the rules are the Electricity Rules, 2005 (hereinafter referred to as 'the Rules, 2005'), which, so far as the consumer redressal Forum and Ombudsman are concerned, is governed by Rule 7 of the Rules, 2005, which for the sake of convenience, is reproduced below:-

"Consumer Redressal Forum and Ombudsman.- (1) *The Distribution Licensee shall establish a Forum for redressal of grievances of consumers under sub-section (5) of section 42 which shall consist of officers of the Licensee.*

(2) The Ombudsman to be appointed or designated by the State Commission under sub-section (6) of section 42 of the Act shall be such person as the State Commission may decide from time to time.

(3) The Ombudsman shall consider the representations of the consumers consistent with the provisions of the Act, the Rules and Regulations made hereunder or general orders or directions given by the Appropriate Government or the Appropriate Commission in this regard before settling their grievances.

(4) (a) The Ombudsman shall prepare a report on a six monthly basis giving details of the nature of the grievances of the consumer dealt by the ombudsman, the response of the Licensees in the redressal of the grievances and the opinion of the ombudsman on the Licensee's compliance of the standards of performance as specified by the Commission under section 57 of the Act during the preceding six months.

(b) The report under sub-clause (a) above shall be forwarded to the State Commission and the State Government within 45 days after the end of the relevant period of six months."

15. A perusal of the sub-rule (1) of Rule 7 of the Rules, 2005, categorically provides that the Distribution Licensee shall establish a Forum for redressal of grievances of consumers under sub-section (5) of section 42 which shall consist of officers of the Licensee.

16. From a perusal of the aforesaid sections and the rules, it is clearly apparent that the entire thrust of Section 42 of the Act, 2003 and Rule 7 of the Rules, 2005, is on the establishment of a Forum for **redressal of grievances of the consumers** which, as per definition clause of Section 2(15) of the Act, 2003, means any person who is supplied electricity for his own use.

17. The U.P. Electricity Regulatory Commission i.e. the State Commission while exercising powers conferred by Section 181 of the Act, 2003 read with sub-section (5) to (8) of Section 42 of the Act, 2003 made the Regulations namely the Regulations, 2007. Regulation 1.4 of the Regulations, 2007, clearly specifies that the Regulations shall be read with the relevant provisions of the U.P. Electricity Reforms Act, 1999 (for short, 'the Act, 1999'), to the extent they are not inconsistent with the provisions of the Electricity Act, 2003. For the sake of convenience, Regulation 1.4 of the Regulations, 2007, is reproduced as under:-

"These Regulations shall be read with the relevant provisions of the U.P. Electricity Reforms Act, 1999 to the extent they are not inconsistent with the provisions of the Electricity Act, 2003."

18. The definition of a "Complainant" as provided in Regulation 2.1 (d) of the Regulations, 2007, reads as under:-

"Complainant" means -

- (i) a consumer or more than one consumer having shared interest in the grievance or authorized representative of such consumer(s); or
- (ii) any voluntary consumer association registered under the Companies Act, 1956 (1 of 1956) or under any other law for the time being in force.
- (iii) a person who has completed all procedural requirement for obtaining a connection but the sanction has not been accorded by the Distribution Licensee within the time frame specified by the Commission in the Electricity Supply Code."

19. A "complaint" has been defined in Regulation 2.1 (e) of the Regulations, 2007, as follows:-

"Complaint" means any allegation in writing made by a complainant or his authorized representative regarding any consumer grievance arising in relation to-

(i) any defect or deficiency in electricity supply or service by a Licensee, including non-conformity with the applicable performance standards specified in the Electricity Supply Code;

(ii) billing including charging for the electricity supplied or services mentioned in the complaint, a price in excess of the price fixed by the Commission in tariff order or otherwise;

(iii) offering electricity services, to the public which will be hazardous to life and safety when availed, in contravention of the provisions of the Act, rules made there under, Electricity Supply Code or any other law.

(iv) violation of any provision of the Act, the rules or regulations made there under or license requiring the Licensee to display the information in regard to the manner or effect of use of the electrical services.

(v) breach of any obligation, made under the Act, the Electricity Supply Code, tariff order, provisions relating to safety and electricity supply, meter, disconnection, realization of dues, by the Licensee which adversely affects any consumer or which the Forum may consider appropriate to be treated as a complaint.

20. The "Consumer" has been defined in Regulation 2.1(f) of the Regulations, 2007, as under:-

""consumer" means any person who is supplied with electricity for his own use by a Licensee or the Government or by any other person engaged in the business of supplying electricity to the public under the Act or any other law for time being in force, and includes any person whose premises are for the time being connected for the purpose of receiving electricity with the works of a Licensee, Government or any other person, as the case may be."

21. The "Grievance" has been defined in Regulation 2.1 (n) of the Regulations, 2007, as under:-

" "grievance" in relation to the consumer means failure of the Distribution Licensee to provide the specified or agreed electricity service, giving rise to a complaint."

22. From perusal of Regulation 1.4 of the Regulations, 2007, it clearly comes out that the Regulations, 2007, have to be read with the relevant provisions of the Act, 1999, to the extent that they are not inconsistent with the provisions of the Act, 2003, meaning thereby that it is Act, 2003, which is to prevail in case of any inconsistency.

23. Likewise, a complainant before the Forum would mean "consumer" moving a "complaint" for any consumer 'grievance' and a 'consumer' would be a person who is supplied electricity for his own use.

24. The other relevant provisions of Regulations, 2007, would be Regulation 5 pertaining to the jurisdiction of the Forum, Regulation 6 pertaining to the procedure before the Forum and Regulation 8 dealing with the representation before Electricity Ombudsman. For the sake of convenience, Regulations 5, 6 & 8 of the Regulations, 2007, are reproduced as under:-

"5.0 Jurisdiction of the Forum-

5.1 The Forum shall not entertain a complaint, if it pertains to matters mentioned in Section 126,127, 128,135 to 139,143,152 and 161 of the Electricity Act,03.

5.2 The Forum shall have the jurisdiction to take up complaints, except those under Regulation 5.1, on an application before it or suo-moto if it considers appropriate in the interest of justice.

5.3 The Forum shall not entertain a complaint if it pertains to the same subject matter for which any proceedings before any court, authority or any other Forum is pending or a decree, award or a final order has already been passed by any competent court, authority or Forum.

6.0 Procedure before the Forum-

6.1 The designated staff of the Forum shall -

- (i) receive Complaints and issue acknowledgement;*
- (ii) maintain records;*
- (iii) post the matter/complaint for hearing as per direction of the Forum;*
- (iv) function as decided by the Forum.*

6.2 Every complaint to the Forum must be submitted in writing and shall contain the following particulars;

- (i) Name of the individual or the organization, postal address, service connection number, tariff category, telephone number, fax number and the E-mail address (if any) of the complainant;*
- (ii) Name of the Distribution Licensee and its office to which complaint pertains;*
- (iii) Full facts of the matter supported by self-attested copies of relevant documents;*
- (iv) the relief prayed for ;*
- (v) a statement that the matter is not pending before any court, authority or Forum;*
- (vi) a copy of response, if any, or order of the Licensee; and*
- (vii) any other matter considered relevant.*

6.3 Complaint shall be accompanied by fees of Rs. 50/-through Indian postal order or demand draft or banker's cheque payable to Forum or any other instrument specified by the Forum.

6.4 The Forum shall determine the admissibility of the Complaint not later than seven working days from the date of receipt of the complaint. No complaint shall be rejected unless an opportunity of hearing is provided to the complainant except matters related to Regulation-5.1.

6.5 After admission, the Forum shall proceed to adjudicate upon the complaint in the manner provided in these Regulations.

6.6 The Forum shall cause a copy of the Complaint served on the concerned Distribution Licensee directing it to submit, in writing, its reply with a copy of such reply directly to the complainant within two weeks or such extended period, not exceeding three weeks, as may be granted by the Forum. The complainant shall file a counter reply, if any, to the reply of the Distribution Licensee within next one week with a copy to such Licensee.

6.7 If the Distribution Licensee fails to respond within the time given by the Forum or fails to appear before the Forum through an authorized representative, the Forum may proceed to hear and dispose of the matter ex-parte on the basis of the documents and any other evidence on record or pass such order as may be considered proper in the interest of justice.

6.8 If the Complainant does not appear on the date of hearing before the Forum, the Forum may dispose it of on the basis of the documents on record or pass such order as may be considered proper in the interest of justice.

6.9 (i) Every Complaint shall be heard as expeditiously as possible. The Forum shall adjudicate upon a Complaint by a speaking order at the earliest but

preferably within three months from the date of receipt of complaint by the Forum.

(ii) In the event of Complaint being not disposed of within the period, the Forum shall record in writing reasons for the same. In such cases, the complainant may also approach the Ombudsman.

6.10 (i) The Forum may pass such interim orders, as it may consider necessary, pending final disposal of the complaint:

Provided that, save in exceptional circumstances, the interim relief shall not be allowed for a period of more than three months;

Provided further that in case of dispute in regard to bill, the interim relief shall not be granted unless the complainant deposits with the authority /office/officer, with whom the amount has to be deposited, an amount at the following rates or at such rates as may be revised by the Commission by an Order:

(a) Rs. 1000 per KW for sanctioned loads upto 5 KW,

(b) Rs. 5000/= plus Rs. 2000/= per KW for each additional KW of sanctioned load above 5 KW to 25 KW, and

(c) Rs. 45000/= plus Rs. 2500 per KW for each additional KW of sanctioned load above 25 KW; or an amount to the extent of fifty percent of the impugned demand, whichever is less;

Provided also that the application seeking interim relief shall be disposed of within three working days after receipt of the complaint.

(ii) the supply of the consumer shall not be disconnected and, if disconnected, shall be reconnected within 24 hours if he has deposited the amount directed by the Forum.

6.11 The Forum shall not grant more than one adjournment unless sufficient cause is shown and the reasons for grant of adjournment shall be recorded in writing by the Forum. In such case, the party seeking adjournment shall pay other party a sum of Rs. 100/- as compensation for the hardship caused due to adjournment of the case.

8.0 Representation before Electricity Ombudsman

8.1 (i) Any consumer aggrieved by the order made by the Forum or where the Forum has failed to redress the grievance within the specified period or Distribution Licensee is aggrieved by the Order of the Forum, may prefer representation to the 'Electricity Ombudsman'.

(ii) The representation may be made by the consumer or by his authorized representative or by the Distribution Licensee within 30 days of the order.

(iii) The representation shall be in writing, signed by the consumer or his authorized representative or, as the case may be, by the authorized officer of the Distribution Licensee, shall be accompanied by the copy of the order of the Forum, where an order has been passed, and shall state-

(a) Name and address of the consumer,

(b) Name and address the Distribution Licensee,

(c) Name and address of the Forum,

(d) Facts giving rise to representation,

(e) Relief sought.

(f) Any other relevant fact.

8.2 No representation shall lie to Electricity Ombudsman unless-

(a) the Consumer has made a written representation to the Forum in prescribed manner and the Forum has either rejected the representation or has failed to dispose it of within specified time;

(b) the consumer or the Distribution Licensee is aggrieved by the decision of the Forum;

(c) the representation is in respect of the matter, which has not been already settled by the Electricity Ombudsman or by any Court, Tribunal or any other competent authority;

(d) the representation relates to a matter which is not pending in any Court, Tribunal, Arbitrator or any other competent authority.

8.3 'Electricity Ombudsman' may, for reason to be recorded, entertain a representation after the expiry of the specified period, if it is satisfied that there was sufficient cause for not filing the same within that period.

8.4 'Electricity Ombudsman' shall not entertain a representation from any consumer, who is required to pay an amount to any authority /office/officer of the concerned Distribution Licensee as specified by the Forum in the final order, until the complainant has deposited, in compliance with such order of the Forum, thirty three percent of such amount inclusive of any amount already paid to such authority /office/officer in pursuance to an interim order of the Forum, if any."

25. As per Regulation 5.1 of the Regulations, 2007, the Forum is not to entertain a complaint if it pertains to a matter mentioned in Sections 126, 127, 128, 135, to 139, 143, 152 and 161 of the Act, 2003.

26. A complaint is to be made before the Forum under the provisions of Regulation 5.2 of the Regulations, 2007, and the Forum, as per Regulation 6.5 of the Regulations, 2007, after admission, would proceed to adjudicate upon the complaint. As per Regulation 6.9 (i) of the Regulations, 2007, every complaint shall be heard as expeditiously as possible and the Forum shall adjudicate upon a complaint by a speaking order at the earliest but preferably within three months from the date of receipt of complaint by the Forum.

27. As per Regulation 6.9 (ii) of the Regulations, 2007, in the event of complaint being not disposed of within the period, the complainant may also approach the Ombudsman.

28. In terms of Regulation 8 of the Regulations, 2007, a representation before the Electricity Ombudsman is provided.

29. In terms of Regulation 8.1(i) of the Regulations, 2007, any consumer aggrieved by the order made by the Forum or where the Forum has failed to redress the grievance within the specified period or a Distribution Licensee, if aggrieved by the order of the Forum, may prefer representation to the Electricity Ombudsman.

30. Regulation 8.2 of the Regulations, 2007, provides that no representation would lie to the Electricity Ombudsman unless the consumer has made a written representation to the Forum in prescribed manner and the Forum has either rejected the representation or has failed

to dispose it of within specified time or the consumer or the Distribution Licensee is aggrieved by the decision of the Forum.

31. Thus, it is apparent that though the Regulations, 2007 have been framed by the State Commission while exercising power conferred upon it by Section 181 read with sub-section (5) to (8) of Section 42 of the Act, 2003, which only pertains to establishment of a Forum for redressal of grievances of the **consumers** yet Regulation 8.1(i) of the Regulations, 2007, has gone beyond redressal of grievance of the consumer by also giving the Distribution Licensee the remedy of approaching the Electricity Ombudsman if aggrieved by the order of the Forum. Whether inclusion of Distribution Licensee in Regulation 8.1(i) and giving him the remedy of approaching the Electricity Ombudsman against the order passed by the Forum would render Regulation 8.1 of the Regulations, 2007, ultra vires, the mandatory provisions of Section 42 (5) (6) and (7) of the Act, 2003 and Rule 7 of the Rules, 2005, would be the question to be decided by the Full Bench.

32. Having thus summed up the issue before the Full Bench, we proceed to discuss the arguments raised on behalf of the learned counsels for the contesting parties.

33. Learned counsel for the appellant submits that though the framing of the aforesaid Regulations, 2007, are within the competence of the State Commission yet part of Regulation 8 of the Regulations, 2007, which gives a remedy to the Distribution Licensee also to approach the Electricity Ombudsman would be going against the mandatory provisions of Sections 42 (5) (6) and (7) of the Act, 2003, which mandates that the Forum would be for redressal of the grievances of the consumers and that it is the consumer, who if aggrieved by non-redressal of his grievance by the Forum, may make a representation to the Electricity Ombudsman, who shall settle the grievance of the consumer. Thus, it is argued that once sub-sections (5) (6) and (7) of Section 42 of the Act, 2003 read with Rule 7 of the Rules, 2005, do not contemplate any grievance redressal for Distribution Licensee in the Forum to be established and the Forum is only for the consumer, consequently part of Regulation 8 which provides a remedy to the Distribution Licensee to approach the Electricity Ombudsman, would be ultra vires the Act, 2003, more particularly to Section 42 (5), (6) and (7) read with Rule 7 of the Rules, 2005.

34. Learned counsel for the appellant further argues that Section 181 of the Act, 2003, gives the power to the State Commission to make regulations which are consistent with the Act, 2003. It is thus contended that once the Act, 2003 mandates for establishment of a Forum for redressal of grievances of the consumer then the said Regulations more particularly Regulation 8 of the Regulations, 2007, which gives a remedy even to the Distribution Licensee to approach the Electricity Ombudsman, would make the said Regulation inconsistent to the Act, 2003, thereby rendering Regulation 8 of the Regulations, 2007, so far as it includes the Distribution Licensee and giving him the remedy of approaching the Electricity Ombudsman as ultra vires to the Act of 2003.

35. So far as the judgment in the case of **M/s Jindal Poly Films Limited (supra)** is concerned, learned counsel for the appellant argues that the Division Bench of this Court has not explicitly gone into the aforesaid aspects of the matter while holding Regulation 8.1 of the Regulations, 2007, as intra-vires inasmuch as the Division Bench has proceeded on a general assertion and presumption that the Act, 2003 should be read as a whole and not be read section by section and word by word and thereafter held the same to be intra-vires to the Act. It is argued that had the Division Bench gone into the specific provisions of Section 42(5) to (7) of the Act, 2003 read with Section 181 of the Act, 2003 and there being no other provision in the Act, 2003 providing otherwise, consequently the said finding of Regulation 8.1 of the Regulations, 2007 being intra-vires could not have been arrived at by Division Bench. It is also argued that Division Bench has held Regulation 8.1 of the Regulations, 2007, to be intra-vires in view of "related provisions of the Act" without indicating as to which of the related provisions of the Act were being referred to and once there are no other related provisions of the Act which give any right to the Distribution Licensee to approach the Ombudsman against the order of the Forum and the Forum has been constituted only for redressal of grievance(s) of the consumer consequently the judgment of Division Bench in the case of **M/s Jindal Poly Films Limited (supra)** cannot be said to have laid down the correct law.

36. In this regard, reliance has been placed on the following judgments:-

- (1) A.R. Antulay vs. R.S. Nayak - (1988) 2 SCC 602;
- (2) Hitendra Vishnu Thakur vs. State of Maharashtra - (1994) 4 SCC 602;
- (3) State of Haryana vs. Maruti Udyog Ltd. - (2000) 7 SCC 348;
- (4) Newspapers Ltd. vs. State Industrial Tribunal - AIR 1957 SC 532;
- (5) Dr. Mahachandra Prasad Singh vs. Chairman, Bihar Legislative Council - (2004) 8 SCC 747;
- (6) State of Rajasthan vs. Basant Nahata - (2005) 12 SCC 77;
- (7) Chandra Kumar Sah & another vs. The District Judge & others - AIR 1976 ALL (FB);
- (8) Dayal Singh vs. Union of India - (2003) 2 SCC 593;
- (9) Sales Tax Officer vs. K.I. Abraham - AIR 1967 SC 1823;
- (10) M. Chandru vs. Chennai Metropolitan Development Authority - (2009) 4 SCC 72;
- (11) Kunj Behari Lal Butail vs. State of Himanchal Pradesh - (2000) 3 SCC 40;
- (12) Global Energy Ltd. vs. Central Electricity Regulatory Commission - (2009) 15 SCC 570;
- (13) Petroleum & Natural Gas Regulatory Board vs. Indraprastha Gas Ltd. - (2015) 9 SCC 209;
- (14) State of Karnataka vs. H. Ganesh Kamath - (1983) 2 SCC 402;
- (15) General Officer Commanding in Chief vs. Subhash Chandra Yadav - (1988) 2 SCC 351;
- (16) ADM (Revenue) Delhi Admn. vs. Siri Ram - (2000) 5 SCC 451;
- (17) Union of India vs. Srinivasan - (2012) 7 SCC 683;
- (18) Academy of Nutrition Improvement vs. Union of India - (2011) 8 SCC 274;
- (19) BSNL vs. Telecom Regulatory Authority of India - (2014) 3 SCC 222;
- (20) Bharathidasan University vs. All India Council For Technical Education - (2001) 8 SCC 676;
- (21) Cellular Operators Association of India vs. Telecom Regulatory Authority of India and others - (2016) 7 SCC 703;
- (22) St. Johns Teachers Training Institute vs. Regional Director, NCTE - (2003) 3 SCC 321;
- (23) Union of India vs. Charantjit S. Gill - (2000) 5 SCC 742;
- (24) Bharat Aluminum Co. vs. Kaiser Aluminum Technical Services Inc. - (2012) 9 SCC 552;
- (25) Raghunath Rai Bareja vs. Punjab National Bank - (2007) 2 SCC 230;

- (26) Morvi Mercantile Bank Ltd. vs. Union of India - AIR 1965 SC 1954;
- (27) Easland Combines vs. CCE - (2003) 3 SCC 410;
- (28) Rohitash Kumar vs. Om Prakash Sharms - (2013) 11 SCC 451;
- (29) Dhannalal vs. Kalawatibai - (2002) 6 SCC 16;
- (30) The Mumbai Kamgar Sabha Bombay vs. M/s Abdulbhai Faizullabhai and others - (1976) 3 SCC 382;
- (31) Municipal Corporation Delhi vs. Gurnam Kaur - (1989) 1 SCC 101;
- (32) Punjab Land Development and Reclamation Corporation Ltd. vs. Presiding Officer, Labour Court - (1990) 3 SCC 682;
- (33) State of U.P. and another vs. Synthetics and Chemicals Ltd. and another - (1991) 4 SCC 139;
- (34) Maharashtra State Cooperative Cotton Growers' Marketing Federation Ltd. vs. Employees' Union - 1994 Supp. (3) SCC 385;
- (35) Arnit Das vs. State of Bihar - (2000) 5 SCC 488;
- (36) Divisional Controller KSRTC vs. Mahadeva Shetty and another - (2003) 7 SCC 197;
- (37) N. Bhargavan Pillai vs. State of Kerala - (2004) 13 SCC 217;
- (38) Farhat Hussain Azad vs. State of U.P. and others - 2005 (1) UPLBEC 474, and
- (39) Kalpana Mehta and others vs. Union of India and others - (2018) 7 SCC 1.

37. Per contra, Sri Jai Deep Narain Mathur, Senior Advocate, assisted by Sri Amarjeet Singh Rakhra and Ms. Aprajita Bansal, has argued that once the Act, 2003 more particularly Section 42 (5) to (7) did not bar the Distribution Licensee to approach the Electricity Ombudsman, if aggrieved against the order of the Forum, and taking this into consideration, the Regulations, 2007 have been framed by the State Commission under the provisions of Section 181 of the Act, 2003. Consequently merely because the Distribution Licensee has been given the right of approaching the Electricity Ombudsman aggrieved by the order of the Forum, the same by itself would not render Regulation 8.1 of the Regulations, 2007 ultra-vires.

38. Elaborating this further, it is argued that the Distribution Licensee has been defined in Section 2(1) of the Act, 2003, and Section 16 of the Act, 2003 provides that the appropriate Commission may specify any general or specific condition which would apply to a Licensee and such conditions would be deemed to be the condition of the License which has been granted to the Licensee by the appropriate Commission. Further

Section 181 (2) (d) of the Act, 2003 provides that the State Commission would enumerate the conditions of license under Section 16 by taking recourse to its regulation making power under Section 181 of the Act, 2003. Regulation 3.17 of the Regulations, 2007, provides that constitution of Forum under the regulation and compliance of various provisions of regulation would be deemed to be a condition of the license of the Licensee and non-compliance is to be dealt in accordance with the provisions of the Act, 2003 and hence the license is deemed to include a provision by which the Licensee will have an opportunity to initiate proceedings for settlement of a consumer grievance before the Electricity Ombudsman. It is argued that as the said condition is a condition of a license of the Licensee, the same would not be open to challenge by a consumer who is receiving electricity in accordance with the power given to the Distribution Licensee in accordance with his license. It is also argued that it is for the purpose of enabling the Distribution Licensee to develop and maintain an efficient, coordinated and economical system in accordance with the provisions of the Act, 2003 that the State Commission in exercise of powers under Section 16 read with Section 181 (2) (d) of the Act of 2003 has made it mandatory for the Distribution Licensee to create an independent Forum for settlement of the grievance of the consumers and for an Electricity Ombudsman who would entertain the representations from both the consumers as well as the Licensee. It is argued that the term "settle the grievance" as used under Section 42(7) of the Act, 2003 cannot only mean settlement of the grievance at the instance of one party to the dispute rather the same has to be given a broad meaning so as to enable the Distribution Licensee also to approach the Electricity Ombudsman.

39. Sri Mathur also argues that once the State Commission has created an independent Forum under Section 42(5) of the Act, 2003, which is neither an extension of the Distribution Licensee nor under its control, accordingly it would be in the fitness of things that in the event of a Distribution Licensee being aggrieved by the decision of the Forum, the compliance of which would effect the efficient, coordinated and economical distribution system in the areas of supply of the Distribution Licensee as such the Distribution Licensee must be given an opportunity to get the grievance of the consumer settled by the Electricity

Ombudsman. Such a purposive intent clearly comes out from the whole reading of Section 42 of the Act, 2003 and cannot be permitted to be given a restrictive meaning.

40. Sri Mathur further argues that in terms of Section 181 (2)(s) of the Act, 2003, once the State Commission has exercised its power and has framed the Regulations specifying the time and manner for settlement of the grievances under sub-section (7) of Section 42 of the Act, 2003, consequently it would mean the settlement of grievances of both the consumer as well as the Distribution Licensee. It is argued that once such a power is vested with the State Commission of framing of Regulations consequently after the said Regulations have been framed, same cannot be called in question on the grounds as indicated by the appellant. In terms of Section 42(5) and 42 (7) of the Act, 2003. the exclusive supporting legislative power has been conferred upon the State Commission and the same having been exercised and the Regulations, 2007 having been framed, merely because the Distribution Licensee has also been included in Regulation 8 of the Regulations, 2007, cannot be a ground for holding Regulation 8 ultra-vires to the Act, 2003.

41. Sri Mathur argues that in case the Distribution Licensee prefers a representation before the Electricity Ombudsman for settlement of the grievance of the consumer, that itself would not ipso-facto prejudice the consumer inasmuch as Regulation 7.6 of the Regulations, 2007 lends finality to the settlement of the grievances of the consumers by the Forum and makes the order of the Forum binding on the Distribution Licensee only after the right of representation before the Electricity Ombudsman has been availed by the Distribution Licensee. Thus, once no prejudice is caused to the consumer consequently Regulation 8 of the Regulations, 2007 cannot be said to be ultra-vires to the Act, 2003. It is also argued that once no pecuniary limit has been fixed for exercise of power by the Forum as such in case the Distribution Licensee is aggrieved by the decision of the Forum, the compliance of which would affect its efficient, coordinated and economical distribution system in its areas of supply, it is only fair and just that the Distribution Licensee be also given an opportunity to get the grievance of the consumer settled by the Electricity Ombudsman in terms of Regulation 8 of the Regulations, 2007.

42. In support of his arguments, Sri Mathur has placed reliance on the following judgments:-

- (1) J.K. Cotton Spinning and Weaving Mills Ltd. vs. Union of India - AIR 1988 SC 191;
- (2) Sant Ram Sharma vs. State of Rajasthan - AIR 1967 SC 1910;
- (3) PTC India vs. CERC - (2010) 4 SCC 603;
- (4) Chief Forest Conservator vs. Nisar Khan - (2003) 4 SCC 595;
- (5) Dhananjay Malik vs. State of Uttaranchal - (2008) 4 SCC 171, and
- (6) J.K. Cotton Spinning and Weaving Mills Co. Ltd. vs. State of Uttar Pradesh and others - 1991 (3) SCR 185.

43. Sri Sanjay Singh, learned counsel appearing for respondent no.5 - U.P. Electricity Regulatory Commission, while adopting the arguments of Sri Jaideep Narain Mathur, Senior Advocate, has also argued that once the Act, 2003 confers exclusive jurisdiction upon the State Commission to frame Regulations for establishment of Forum and Ombudsman and the said Regulations having been framed by the Commission resulting in issue of Regulations, 2007 consequently there is presumption with regard to constitutional validity of the Act, Rules or Regulations. In this regard, reliance has been placed upon the judgment of Hon'ble the Supreme Court in the case of **State of T.N. and another vs. P. Krishnamurthy and others - (2006) 4 SCC 517**. Sri Singh also argues that by framing of Regulations no fundamental right guaranteed under the Constitution of India of the consumer is being violated apart from the fact that there is no arbitrariness or unreasonableness in Regulation 8 of the Regulations, 2007, so far as it includes the Distribution Licensee within its ambit. It is also argued that in case a holistic view of the issue is taken then there does not appear any conflict or inconsistency between the Rules, 2005, Act 2003 and the Regulations, 2007. It is submitted that even if for the argument's sake, it is assumed that there is a conflict or inconsistency between Rule 7 of the Rules, 2005 and Regulation 8.1 (i) of the Regulations, 2007, even then the provisions of Regulations 2007 will prevail over the Electricity Rules, 2005 as the power to make Regulations has specifically been conferred upon the State Commission under sub-section (5) to (7) of Section 42 of the Act, 2003 and consequently the general power will yield to special power. In this regard, reliance has been

placed upon the judgment of Hon'ble the Supreme Court in the case of **J.K. Cotton Spinning & Weaving Mills Co. Ltd. vs. State of U.P. and others - AIR 1961 SC 1170**. Sri Singh also argues that once the Forum functions independently of the Distribution Licensee as such denial of remedy to Distribution Licensee by way of representation before the Electricity Ombudsman will amount to procedural discrimination. Sri Singh has also placed reliance on the following judgments:-

- (1) N.T. Veluswami Thevar vs. G. Raja Nainar and others - 1959 AIR 422;
- (2) Raja Harish Chandra Raj Singh vs. The Deputy Land Acquisition Officer and another - 1961 AIR 1500;
- (3) Chairman, Board of Mining Examination and another vs. Ramjee - 1977 SCC (2) 256;
- (4) Directorate of Enforcement vs. Deepak Mahajan and another -AIR 1994 SC 1775;
- (5) Sachida Nand Singh and another vs. State of Bihar and another - MANU/SC/0077/1998, and
- (6) D. Saibaba vs. Bar Council of India and another - MANU/SC/0388/2003.

44. Heard learned counsel for the contesting parties and perused the records.

45. The Regulations, 2007 have been framed by the U.P. Electricity Regulatory Commission by exercising the powers conferred on it by Section 181 read with sub-sections (5) to (7) of Section 42 of the Act, 2003. Sub-sections (5) of Section 42 of the Act, 2003, gave the power to the State Commission to frame the guidelines in pursuance to which the Distribution Licensee, within six months from the appointed date or date of grant of license, establish a Forum for **redressal of grievances of the consumers**. Further in terms of sub-section (6) of the Section 42 of the Act, 2003, any **consumer** who is aggrieved by non-redressal of his grievance under sub-section (5) may make a representation for the redressal of his grievance to the Electricity Ombudsman and the Electricity Ombudsman, in terms of sub-section (7) of Section 42 of the Act, 2003 shall **settle the grievance of the consumer** within such time and in such manner as may be specified by the State Commission.

46. In pursuance to the aforesaid provisions, the State Commission made the Regulations, 2007, which also include in Regulation 3 the Constitution of the Consumer Grievance Redressal Forum. In terms of

Regulation 3.1 of the Regulations, 2007, the Distribution Licensee has to establish and operate a Forum in accordance with the Regulations, 2007 at certain locations. Regulation 3.7 of the Regulations, 2007 provides that the Forum shall function independent of the Licensee. Regulation 5 of the Regulations, 2007 sets out the jurisdiction of the Forum.

47. The controversy arises after a complaint filed by the consumer is either decided whereby the remedy is spelt out in Regulation 8.1(i) of the Regulations, 2007 whereby any consumer aggrieved by the order made by the Forum or where the Forum has failed to redress the grievance within the specified period has been given a remedy of preferring a representation to the Electricity Ombudsman. However, Regulation 8.1 (i) of the Regulations, 2007 also provides that in case a Distribution Licensee is aggrieved by the order of the Forum he may prefer a representation to the Electricity Ombudsman.

48. Once sub-section (5) of Section 42 of the Act, 2003 provides that a Forum would be for redressal of the grievance of the **consumers** and sub-section (6) of Section 42 of the Act, 2003 provides that any **consumer** aggrieved by non-redressal of his grievance under sub-section (5), may make a representation for redressal of his grievance to the Electricity Ombudsman and sub-section (7) provides that the Electricity Ombudsman shall settle the grievance of the consumer consequently it clearly comes out that inclusion of "Distribution Licensee" in Regulation 8.1 (i) of Regulations, 2007 would be in conflict to the specific provisions of Section 42 (5) & (6) of the Act, 2003 and Rule 7 of the Rules, 2005.

49. Elaborating this, we may refer to the definition of "Consumer" as given under Section 2(15) of the Act, 2003 as well as Regulation 2.1(f) of the Regulations, 2007 which do not include the Distribution Licensee in its ambit rather the Distribution Licensee has been defined separately under Section 2(17) of the Act, 2003. A 'consumer' would be a person who is supplied with the electricity for his own use by a Licensee or the Government or by any other person and includes a person whose premises are for the time being connected for the purpose of receiving electricity. Thus, for his **grievance**, the Consumer may approach the Forum and being aggrieved with the order of the Forum, the Consumer may approach the Electricity Ombudsman. Section 42(5) provides for a consumer grievance redressal forum. Likewise, Rule 7 of Rules, 2005 also

speaks about the Distribution Licensee establishing a Forum for redressal of the **grievances of the consumers**. Likewise Section 181 (1) of the Act gives the power to the State Commission to make regulations consistent with the Act and the Rules. Once the Act and the Rules themselves do not contemplate for constitution of any Forum for redressal of grievance of a Distribution Licensee rather the thrust is for redressal of grievance of the consumer then by no stretch of imagination could the State Commission have framed regulations whereby the grievance redressal for the Distribution Licensee has also been provided and thus inclusion of Distribution Licensee in Regulation 8.1(i) of the Regulations, 2007 would be ultra vires to Section 42 (5) to (7) of the Act, 2003.

50. From the aforesaid discussions, it clearly comes out that both the Act, 2003 and the Rules, 2005 are clear, categoric and unambiguous and require no addition of any word or reading of an additional word in it. Once the Act, 2003 read with Rules, 2005 provides for a Forum for redressal of grievance of the consumer and the consumer alone consequently there is no scope of a Distribution Licensee staking its claim to approach the Electricity Ombudsman as is sought to be done under Regulation 8 of the Regulations, 2007.

51. Further sub-section (6) of Section 42 of the Act, 2003 provides a remedy of making representation to a Consumer aggrieved by non-redressal of his grievance to the Electricity Ombudsman and no one else. It is settled proposition of law that statutory right in the realm of appeal, review, revision etc must be provided in the statute. The statute has provided such a remedy to a consumer for non-redressal of his grievance but not to the Distribution Licensee and consequently the Distribution Licensee cannot be allowed to be included through Regulation 8.1(i) of the Regulations, 2007 for the purpose of approaching the Electricity Ombudsman as has been provided in Regulation 8 of the Regulations, 2007. Once the regulations are to be framed in terms of Section 181 (1) of the Act, 2003 **consistent with the Act, 2003 and the Rules, 2005**, the same could not have included the Distribution Licensee for the purpose of approaching the Electricity Ombudsman as is sought to be done in terms of Regulation 8.1(i) of the Regulations, 2007.

52. The argument of Sri Mathur that Section 42 (5) to (7) of the Act, 2003, did not bar the Distribution Licensee to approach the Electricity

Ombudsman is patently misconceived for a plain reading of Section 42(6) of the Act, 2003 clearly provides that it is consumer who if aggrieved by non-redressal of his grievance under sub-section (5) may make a representation for redressal of his grievance to the Electricity Ombudsman. The statute itself not having given this remedy to the Distribution Licensee, would not empower the Regulations framed under the provisions of the Act, 2003 to provide the said remedy to the Distribution Licensee.

53. The argument of Sri Mathur that the State Commission has created an independent Forum under Section 42(5) of the Act, 2003, which is neither an extension of the Distribution Licensee nor under its control and it being an independent Forum, the Distribution Licensee must be given an opportunity to approach the Electricity Ombudsman is also patently misconceived inasmuch as, as already discussed above, the Act 2003 only gives a remedy to a consumer to approach the Electricity Ombudsman. The said remedy provided to the Consumer being a creation of statute, as such, the Distribution Licensee cannot be expected to have a remedy in this regard of approaching the Electricity Ombudsman. So far as the independence of the Forum is concerned, though Regulation 3.5 of the Regulations, 2007 indicates that the Forum shall function independent of the Licensee yet Regulation 3.3 of the Regulations, 2007 itself provides that the Distribution Licensee shall invite applications for appointment on the post of a Technical Member of the Forum. The Officer of the Licensee is also to be a Member of the Forum in terms of Regulation 3.2 of the Regulations, 2007. As such, once the power of selection and appointment is given to the Distribution Licensee, the funds and expenditure are also in the hands of the Distribution Licensee and the power of removal of members of the Forum in practice is also with the Distribution Licensee. Consequently, the kind of independence expected from such Forum cannot be said to be complete independence of the Forum. This would also be apparent from perusal of Regulation 3.12 of the Regulations, 2007, which categorically provides that the salary, allowances, secretarial support, office accommodation and infrastructure facilities for establishing the office and other facilities required for efficient functioning of the Forum shall be provided by the concerned Distribution Licensee. The power of removal of any Member has also been given to the Distribution Licensee

which, suffice to state, makes it apparent that the independence of the Forum is illusory. However, as we have not been called upon to give any finding regarding independence of the Forum, we refrain from doing so.

54. As regards the argument of Sri Sanjay Singh, learned counsel for respondent no.5, that inclusion of the Distribution Licensee in Regulation 8 of the Regulations, 2007, is not violative of fundamental rights or any provisions of the Constitution of India or is not manifestly arbitrary or unreasonable, suffice to state that, as already discussed above, Regulations 8.1(i) of the Regulations, 2007 so far as it includes the Distribution Licensee runs foul of the specific provisions of Section 42(5) to (7) of the Act, 2003 read with Rule 7 of the Rules, 2005 and Section 181 (1) of the Act, 2003 by which the Forum is to be constituted for the redressal of the grievance of the consumer and that in terms of Section 42(6) of the Act, 2003, it is a consumer who if aggrieved by the non-redressal of his grievance under sub-section (5) may approach the Electricity Ombudsman. Once specific provisions under the Act, 2003 stand unambiguous no regulations could have been framed contrary to the provisions of the Act, 2003 and as such the argument of Sri Singh is rejected.

55. So far as the judgment in the case of **M/s Jindal Poly Films Limited (supra)** is concerned by which the vires of the Regulation 8.1(i) of the Regulations, 2007 have been upheld, a perusal of the said Division Bench judgment clearly reveals that the Division Bench of this Court has not considered in depth the aforesaid aspects of the matter while holding Regulation 8.1(i) of the Regulations, 2007 as intra-vires inasmuch as the Division Bench has proceeded on a general assertion that the Act, 2003 should be read as a whole and not section by section and word by word. We have already extracted the relevant provisions of the Act, 2003 and we have categorically found that the Act, 2003 does not provide for any remedy to the Distribution Licensee to approach the Electricity Ombudsman against the order passed by the Forum rather the said remedy has **only** been given to the Consumer. Thus, the general assertion of the Division Bench of there being related provisions of the Act without specifically referring to or indicating as to which provisions of the Act were being referred to while holding Regulation 8.1(i) of the Regulations, 2007 to be intra-vires more particularly when Section 42(5) to

(7) of the Act, 2003 are explicit, thus renders the judgment of the Division Bench as not laying down the correct principle of law.

56. As regards the case laws cited on behalf of the appellant as well as the respondents, suffice to state that discussion of the said case laws would unnecessarily burden our judgment more particularly when the Act, 2003 read with Rule 7 of the Rules, 2005 and Section 181 (1) of the Act, 2003, itself is clear and unambiguous.

57. Accordingly, keeping in view the aforesaid discussions, we answer these issues in the following manner:-

(i) Regulation 8.1(i) of the Uttar Pradesh Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007, so far as it includes the Distribution Licensee is ultra-vires to the provisions of the Act, 2003.

(ii) The judgment of the Division Bench in **M/s Jindal Poly Films Limited (supra)** decided on 15.04.2011 does not lay down the correct principle of law.

58. In view of the answers to the two questions, the special appeal be sent to the concerned Division Bench for decision. The other special appeals/writ petitions connected with this reference or whose papers were produced, will be de-linked and shall be placed before the concerned appropriate Courts for decision in accordance with law laid down in this judgment.

Order Date :- 03.04.2019

A. Katiyar

(Abdul Moin, J.) (Rajesh Singh Chauhan, J.) (Vikram Nath, J.)